

Whaling

The rise in cyberattacks throughout the years has been significant, with various forms posing threats to individuals. The most interesting cases of cyberattacks are whaling, in this case highly ranked individuals are targeted to be able to deceive and steal sensitive data, funds or information. Whaling in other words is an insidious form of phishing. The impacts of these attacks can be devastating as they can lead to significant financial losses or reputational damage to either the individual or the organization affected. In response to the growing threat and number of fraud cases, the UK enacted the Fraud Act of 2006, which provides a comprehensive legal framework to combat various forms of fraud, including whaling. This essay will be exploring the nature of whaling attacks, key sections of the Fraud act of 2006 that whaling can be prosecuted under, the challenges of enforcement, and the implications of emerging technologies.

Whaling attacks are extremely studied and plan driven attacks, attackers often conduct extensive research on their targets to be able to gather all necessary information. This has become easier in the newer generation due to the presence of social media giving easy access to extremely sensitive information. For example, in the case of Ubiquiti Networks, the attackers impersonated the company's CEO, successfully convincing a finance employee to transfer \$46.7 million to a fraudulent account (Fitzsimmons, 2020). The attackers were prosecuted under the Computer Fraud and Abuse Act, and a portion of the funds was recovered.

The Fraud act of 2006 was introduced due to the need for a unified approach against fraud in the UK, this replaces the previous patchwork of laws that were often ineffective. This Act was designed to simplify the prosecution of fraud-related offences and provide law enforcement with the necessary tools to tackle these crimes more effectively. Key sections of the act that are relevant to whaling are Section 2, which deals with fraud by false representation; Section 3, which addresses fraud by failing to disclose information; and Section 4, which covers fraud by abuse of position.

Key sections of the Fraud Act that whaling can fall under are: Section 2: this provision criminalizes making false representation with the intention of securing a gain or causing a loss. In whaling scenarios, such representations are frequently delivered via fraudulent email or calls that impersonate high ranking individuals. For instance, an attacker might send an email posing as the company's CEO, directing a financial officer to approve a large transaction. The rise of generative AI has heightened the risk, enabling the creation of realistic fake emails and voice recordings (Khan, 2023).

Section 6: possession of articles for use in frauds

Whaling schemes often rely on advanced tools like phishing kits, malware, or AI systems capable of producing convincing content. Section 6 criminalizes the possession of such tools with the intent to commit fraud, aiding the prosecution of preparatory acts (Smith, 2021).

Section 7: making or supplying articles for use of fraud

This section targets individuals or entities involved in the creation or distribution of tools intended for fraudulent purposes. It is particularly relevant in addressing developers of generative AI models or phishing software that facilitate whaling attacks.

By addressing both the execution of fraudulent acts and the possession or distribution of tools used to commit them, the Fraud Act of 2006 offers a robust legal framework for tackling whaling. However, its effectiveness hinges on the ability to demonstrate intent and adapt its application to rapidly evolving technologies (Khan, 2023).

Due to the intricacy of whaling attacks the probability of getting away with it is quite high. According to InfoSecurity Magazine, the success rate of Whaling is around 90%. Statistically 30% of whaling emails are opened and 12% of people targetted by whaling attacks click on the malicious link (Jones, 2023). Another notable case is, the Mattel 2015 case where an impersonator was using the “fake president” scheme requesting a \$3 million transfer. although , no hackers were prosecuted in this matter this empasized the international cooperation under laws such as Computer Fraud and Abuse Act(CFAA) and international anti fraud laws. As a result, Mattel worked with authorities to freeze the funds in a Chinese bank account and recover the money (Zhao, 2015).

Cases where whaling was prominent and it resulted in prosecution was the Uber Data Breach cover up. Hackers gained access to personal data of 57 million Uber users and drivers. They accessed sensitive data including user names, email addresses, phone numbers, and for a subset of users, drivers licence numbers. Ubers former chief security officer, Joe Suillivan, was charged with obstruction of justice and misprision of a felony for failing to report the breach as they chose to pay the hackers \$100,000, in an attempt to hide the incident. He was prosecuted in 2022, showcasing accountability under U.S cybersecurity and corporate governance laws. While this isn't a direct case of whaling it involves almost all aspects of whaling such as targeting a well-known organization, data breach, and theft of sensitive information (Fitzsimmons, 2022).

Additionally, AI plays a significant role in enhancing the effectiveness of whaling attacks. During recent years the advancement of AI technologies gives cyber criminals access to create highly convincing fake emails, voice recording and even video calls to impersonate targetted high-ranking individuals with remarkable accuracy. Therefore, making it extremely difficult for victims to distinguish between legitimate and fraudulent communications (Khan, 2023). This is causing whaling attacks to become more sophisticated, posing a greater threat to individuals and organizations (Smith, 2021).

In conclusion, whaling attacks showcase a growing and dangerous form of cyber fraud that poses significant risks to everyone involved. These attacks are characterized by targeted deception, often leveraging social engineering and advanced technology to exploit high-ranking officials. The Fraud Act of 2006 provides a crucial legal framework for prosecuting such offenses, particularly through sections addressing false representation, fraud by abuse of position, and possession of tools for fraud. However, the rapid advancement of technologies, especially AI, presents challenges in effectively prosecuting and preventing these crimes. Cases such as the Ubiquiti Networks incident, the Mattel “fake president” scheme, and the Uber data breach highlight the international scope and the need for robust law enforcement cooperation. Moving forward, further legal adaptations and stronger global collaboration will be essential in combating whaling and ensuring that the legal system remains agile in the face of emerging threats.

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